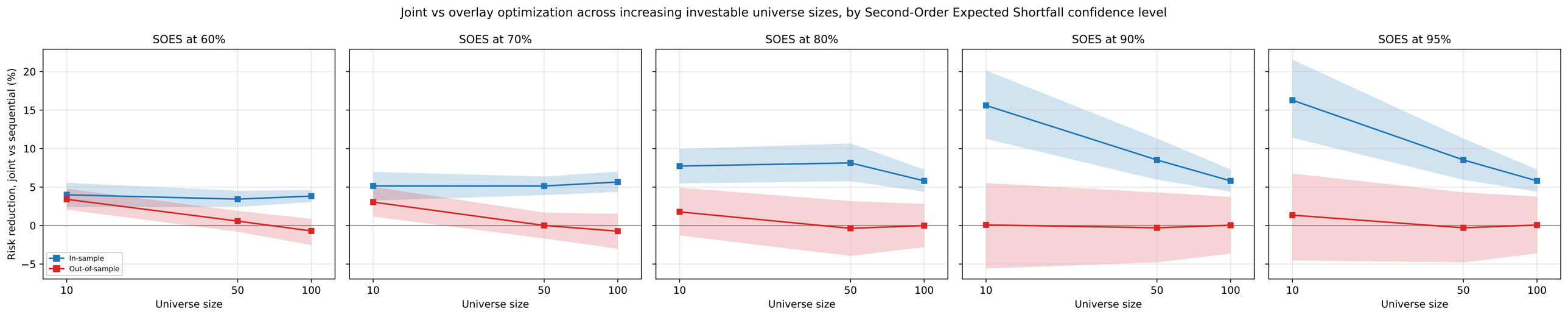
Joint vs overlay optimization across increasing investable universe sizes, by Second-Order Expected Shortfall confidence level
SOES at 60%
SOES at 70%
SOES at 80%
SOES at 90%
SOES at 95%
Risk reduction, joint vs sequential (%)
20
15
10
5
0
−5
In-sample
Out-of-sample
10
50
100
Universe size